

Should This New Hire Be a W-2 or a 1099?

Getting Worker Classification Right the First Time

A Practical Guide for SMB Owners Using QuickBooks

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What We'll Cover

01 Why classification is a real financial risk, not paperwork

02 The IRS's three-part test, explained plainly

03 Red flags that commonly trip up small business owners

04 What misclassification actually costs you

05 Documentation and safe harbor options

06 A decision framework you can reuse for every new hire

Why This Matters

Misclassifying a worker isn't a paperwork slip — it's a retroactive liability that compounds the longer it goes unnoticed.

The IRS and Department of Labor **have both increased scrutiny** of worker classification in recent years — and state agencies (unemployment, workers' comp) often audit independently of the IRS.

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agencies can independently
challenge the same hire

IRS · Dept. of Labor · State Unemployment / Workers' Comp

The IRS Looks at Three Things

No single factor decides the case — the IRS weighs the whole relationship.



Behavioral Control

Does the company control (or have the right to control) how the work gets done?



Financial Control

Who controls the business aspects — investment, expenses, opportunity for profit or loss?



Type of Relationship

Are there contracts, benefits, and is the work central and ongoing to the business?



Factor 1: Behavioral Control

Points toward EMPLOYEE (W-2)

- You dictate specific hours or schedule
- You provide detailed instructions on how, when, where work is done
- You provide training on required procedures
- You supervise the work directly

Points toward CONTRACTOR (1099)

- Worker sets their own hours and methods
- You describe the outcome you need, not the process
- Worker uses their own established expertise, no training provided
- Worker operates with minimal day-to-day oversight

Reality check: Even calling someone a “contractor” in writing doesn't matter if you control their day-to-day work like an employee.



Factor 2: Financial Control

Points toward EMPLOYEE (W-2)

- You reimburse expenses or provide tools/equipment
- Worker has no other clients — you're their only source of income
- Worker is paid a guaranteed wage or salary, regardless of outcome
- Worker has no real opportunity for profit or loss

Points toward CONTRACTOR (1099)

- Worker invests in their own equipment and tools
- Worker actively markets services to other clients
- Worker bills a flat fee or per-project rate, bearing the risk of loss
- Worker can realize a profit or a loss on the engagement

Reality check: A worker who depends entirely on you for income, with no risk of loss, looks financially like an employee — whatever the invoice says.



Factor 3: Type of Relationship

Points toward EMPLOYEE (W-2)

- You offer benefits: insurance, PTO, retirement contributions
- The relationship is open-ended, not tied to a project
- The work is central to your core business (not incidental)
- No written contract, or contract described as at-will employment

Points toward CONTRACTOR (1099)

- No employee-type benefits are offered
- Engagement has a defined scope, project, or end date
- The work is peripheral or specialized, not your core service
- A signed independent contractor agreement defines the scope

Reality check: A contract calling someone a “contractor” carries little weight if the work is indefinite and central to what your business does.



Common Misclassification Traps

Calling a full-time, indefinite role a “1099 contractor” to skip payroll taxes

Requiring set hours (“9-to-5, Mon-Fri”) for someone paid as a contractor

Providing a company email, laptop, and mandatory training to a 1099 worker

Paying a fixed “salary-style” amount every two weeks with no invoice

The worker's only client is you, and has been for over a year

The role is functionally identical to a W-2 job you already have on staff

A Common Scenario

“*My virtual assistant works 30 hours a week, only for me, uses the email address I set up for her, and I tell her exactly what to do each morning. She invoices me monthly. Is that a problem?*”

What the facts suggest:

- **Hours & exclusivity:** 30 hrs/week, only client → employee-like financial dependence
- **Company email:** Behavioral integration into the business → employee-like
- **Daily direction:** “I tell her exactly what to do” → behavioral control, strongly employee-like
- **Invoicing:** The one contractor-like signal — but it's the weakest factor on its own

Bottom line: this looks like a W-2 employee wearing a 1099 label. That's the highest-risk pattern seen in SMB cleanups.



The Cost of Getting It Wrong

Back payroll taxes

Employer share of Social Security and Medicare on all wages paid, retroactive to when the role began

Penalties & interest

Failure-to-withhold and failure-to-deposit penalties, plus interest accruing from the original due date

Unemployment & workers' comp

State agencies often assess independently — a federal resolution doesn't end state exposure

Benefits exposure

Retroactive claims for benefits the worker would have received as an employee (PTO, retirement match, health coverage)



Documentation That Protects You

If you're confident a role is genuinely a 1099 engagement, these records are your defense in an audit:

- ✓ A signed independent contractor agreement with a defined scope and end date
- ✓ Evidence the worker markets services to other clients (website, other invoices)
- ✓ Invoices from the worker, not a recurring internal payroll-style entry
- ✓ No company equipment, email address, or mandatory training records
- ✓ Form W-9 collected before the first payment, Form 1099-NEC filed by January 31

Note: Documentation supports your position — it doesn't override the underlying facts of behavioral and financial control.



A Simple Decision Framework

1 Will this role continue indefinitely, with no defined end date? *Yes → leans employee*

2 Will you set the hours, methods, or day-to-day process? *Yes → leans employee*

3 Will the worker take on other clients while working with you? *No → leans employee*

4 Is the work core to your business, not a specialized side task? *Yes → leans employee*

Four or more “employee-leaning” answers? Treat the role as W-2 until a professional confirms otherwise.

Already Have 1099 Workers? Assess Your Risk Tier

LOW RISK

Short-term project, defined scope, worker has other clients, no company equipment or email provided.

MEDIUM RISK

Ongoing relationship (6–12 months), moderate direction given, worker has some other income sources.

HIGH RISK

Full-time hours, sole source of the worker's income, daily direction given, role identical to an existing W-2 position.

Medium and High Risk workers are worth reviewing with a professional before your next filing deadline — not after an audit notice arrives.



If You Need to Fix a Misclassification

The IRS offers a path for employers who want to correct course voluntarily, before being audited:

Voluntary Classification Settlement Program (VCSP)

Eligible employers pay **roughly 10% of one year's payroll tax liability** on the reclassified workers, avoid interest and penalties, and are not subject to an employment tax audit for the reclassified workers for prior years.

When it may make sense:

- You've identified a High Risk worker before an audit notice
- You want certainty over the cost of correcting course

Talk to a professional first if:

- You're already under audit or investigation
- State-level exposure (unemployment, workers' comp) also needs a plan

This is general education, not a recommendation — eligibility rules apply and a tax professional should confirm fit before you apply.



Your Next Steps



List every current 1099 worker and note their hours, exclusivity, and level of direction



Run each one through the four-question framework from this deck



Flag anyone landing in Medium or High Risk for a closer review



Pull together the documentation checklist for roles you're keeping as 1099



For new hires, decide W-2 vs. 1099 before the offer goes out — not after

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